

PABRAI INVESTMENT FUNDS

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To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: January 18, 2021
Re: **2020 Results, etc.**

Dear Partners:

Happy New Year! December 31 was our annual redemption date. A total of \$44 million was redeemed from the various funds in 2020. The redemptions on a per fund basis are:

PIF2: \$9.5 million PIF3: \$9.5 million PIF4: \$25.0 million

For the quarter ended December 31, 2020, a total of \$4.2 million was added to the various funds by new and existing partners. The additions on a per fund basis are:

PIF2: \$3.7 million PIF4: \$0.5 million

The funds are currently open to new and existing Pabrai investors to add funds. The next opening is April 1, 2021.

PIF2 is the oldest fund and has been closed to new investors for many years. It has just 100 slots and those were all used up several years ago. Over the years we've had a few redemptions and this has opened up about 8 slots. PIF2 is open to US-based investors who are qualified clients. The minimum investment to join PIF2 as a new partner is \$4 million.

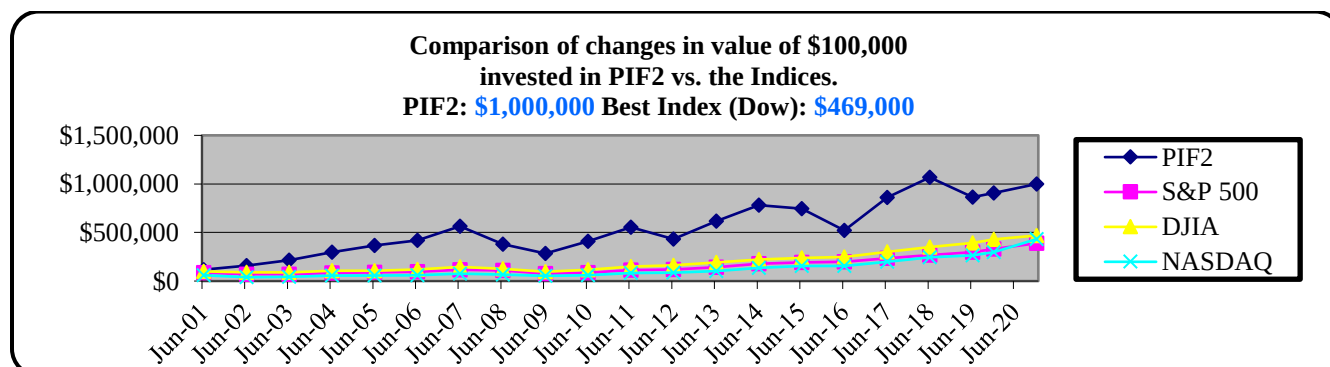
PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is \$3.5 million for individuals and \$10 million for IRAs/foundations/endowments. PIF4 is for qualified US-based investors. The minimum investment to join PIF4 as a new partner is \$5 million.

For current investors in any of the funds, the minimum addition to their current investment is \$25,000. For IRA investors the minimum is \$5,000. Here are the deposit slips for [PIF2](#), [PIF3](#) and [PIF4](#). If you are interested in or would like more information about the April 1, 2021 opening, please contact me at mp@pabraifunds.com or Valerie Magursky at vm@pabraifunds.com.

The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Accredited Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-0.2%	-41.0%	-14.0%	+17.4%
7/1/01-6/30/02	-10.3%	-32.7%	-18.0%	+35.3%
7/1/02-6/30/03	-0.5%	+11.4%	+0.3%	+34.2%
7/1/03-6/30/04	+18.6%	+26.8%	+19.1%	+38.7%
7/1/04-6/30/05	+0.7%	+1.1%	+6.3%	+23.4%
7/1/05-6/30/06	+11.1%	+6.5%	+8.6%	+15.0%
7/1/06-6/30/07	+23.0%	+20.7%	+20.6%	+34.0%
7/1/07-6/30/08	-13.3%	-11.2%	-13.1%	-32.4%
7/1/08-6/30/09	-23.0%	-19.1%	-26.2%	-25.2%
7/1/09-6/30/10	+18.9%	+16.0%	+14.4%	+43.6%
7/1/10-6/30/11	+30.4%	+32.9%	+30.7%	+35.8%
7/1/11-6/30/12	+5.2%	+5.4%	+3.9%	-21.8%
7/1/12-6/30/13	+18.9%	+17.8%	+20.6%	+42.2%
7/1/13-6/30/14	+15.5%	+31.2%	+24.6%	+26.7%
7/1/14-6/30/15	+7.2%	+14.6%	+7.4%	-4.5%
7/1/15-6/30/16	+4.5%	-1.6%	+4.0%	-30.0%
7/1/16-6/30/17	+22.1%	+28.4%	+17.9%	+64.9%
7/1/17-6/30/18	+16.3%	+23.6%	+14.4%	+23.9%
7/1/18-6/30/19	+12.2%	+7.8%	+10.4%	-19.2%
7/1/19-6/30/20	-0.5%	+27.0%	+7.5%	-10.6%
7/1/20-12/31/20	+19.8%	+28.7%	+22.2%	+29.6%
1/1/20-12/31/20	+9.7%	+45.1%	+18.4%	+10.1%
Annualized	+7.9%	+7.5%	+6.9%	+12.0%
Cumulative	+369.0%	+331.9%	+289.0%	+900.0%

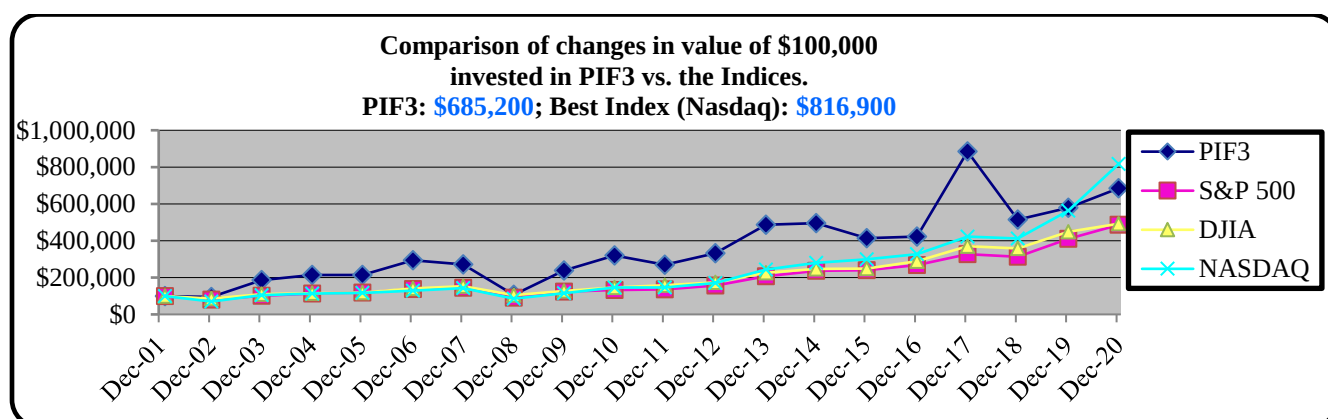


PIF2 Investors:

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$1,400,900 as of December 31, 2020 (net to investors). This equates to an annualized return of 13.1% since inception – after all management fees and expenses. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on July 1, 1999 was worth \$592,000 on December 31, 2020 – an annualized gain of 8.6%. The Dow gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-14.1%	-29.9%	-20.4%	-5.2%
1/1/03-12/31/03	+28.3%	+50.8%	+28.7%	+96.5%
1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.7%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	-0.2%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+37.8%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-7.8%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.9%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+125.0%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+34.4%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-15.7%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+23.4%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.6%
1/1/14-12/31/14	+10.0%	+14.8%	+13.7%	+1.9%
1/1/15-12/31/15	+0.2%	+7.1%	+1.4%	-16.7%
1/1/16-12/31/16	+16.5%	+8.9%	+11.9%	+2.3%
1/1/17-12/31/17	+28.1%	+29.7%	+21.8%	+109.2%
1/1/18-12/31/18	-3.5%	-2.8%	-4.4%	-41.9%
1/1/19-12/31/19	+25.3%	+36.7%	+31.5%	+12.5%
1/1/20-12/31/20	+9.7%	+45.1%	+18.4%	+18.4%
Annualized	+8.8%	+11.7%	+8.7%	+10.7%
Cumulative	+392.3%	+716.9%	+386.1%	+585.2%

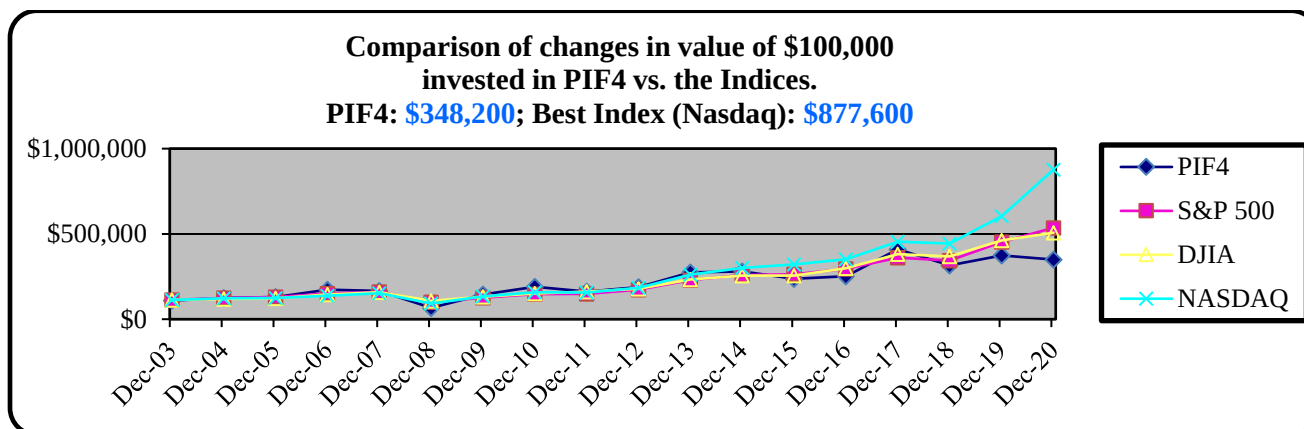


PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$685,500 as of December 31, 2020 (net to investors). This equates to an annualized return of 10.7% since inception. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on February 1, 2002 was worth \$816,900 on December 31, 2020 – an annualized gain of 11.7%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is February 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	+13.4%	+12.3%	+12.2%	+8.4%
1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.4%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	+4.9%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+32.4%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-3.4%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.0%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+118.8%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+30.7%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-14.8%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+16.1%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.0%
1/1/14-12/31/14	+10.0%	+14.8%	+13.7%	+1.8%
1/1/15-12/31/15	+0.2%	+7.1%	+1.4%	-15.4%
1/1/16-12/31/16	+16.5%	+8.9%	+11.9%	+6.3%
1/1/17-12/31/17	+28.1%	+29.7%	+21.8%	+62.4%
1/1/18-12/31/18	-3.5%	-2.8%	-4.4%	-22.8%
1/1/19-12/31/19	+25.3%	+36.7%	+31.5%	+18.0%
1/1/20-12/31/20	+9.7%	+45.1%	+18.4%	-6.7%
Annualized	+9.9%	+13.4%	+10.2%	+7.5%
Cumulative	+407.3%	+777.6%	+436.0%	+248.2%



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$348,200 as of December 31, 2020 (net to investors). This equates to an annualized return of 7.5% since inception. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on October 1, 2003 was worth \$877,600 on December 31, 2020 – an annualized gain of 13.4%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as December 31, 2003 for readability. The correct start date is October 1, 2003.

General Comments

Life's tragedy is that we get old too soon and wise too late.

- Ben Franklin

It has been a wonderful 26 years since I began my journey as a value investor. Before I heard about Warren Buffett in 1994, I had no clue about investing. I went through a very steep (and incredibly exhilarating) learning curve in 1994 and 1995. It was wonderful to enter this new world of Buffett, Munger, Graham and the magic of compounding. The 2nd highest period of learning and growth for me was last year. It was probably all that time I had at home to contemplate my naval. It led to a breakthrough change in my mindset.

When I began my value investing journey, I was a buy and hold investor. I made several investments where I could not see the end of the runway and the mental model I used was to simply set it and forget it. In the period from 1994-1999, I captured two 100 baggers. In one case, I put 10% of my \$1 million in investable assets in it and cashed out over \$10 million five years later. The other one was a 1% bet. It went up 140x and I rang the register with over \$1.4 million. There were also some losers and more than a few other winners, but it was these two 100 baggers that mattered the most. Buying and holding these high conviction bets was key.

The 140-bagger was a company in India where I was sent physical share certificates. There were no digital confirms in India back then. I put those dilapidated certificates in the bottom shelf of a filing cabinet and did not open that drawer for several years. It was helpful to not have the shares available in a brokerage account. The effort required to sell them helped me hold on with zero activity for several years.

When Pabrai Funds started in July 1999, the tech bubble was heading towards a crescendo. Just eight months after we launched, the Nasdaq would top out at over 5000 and eventually bottom out at 1114 in 2002 - down 78% from its March 2000 peak. As the funds launched in 1999, I was able to sidestep the aftermath by focusing on being a Grahamian investor. Instead of buy and hold, I focused on buying dollar bills for 50 cents or less and selling them for 90 cents or more. This worked very well.

From inception in 1999 through March 2018, \$100,000 dollar invested in PIF2 turned into more than \$1.8 million – after my ridiculous fees and all expenses. Now it is \$1.4 million. All three funds beat virtually all the indices from inception through 2017 over one, three, five or ten years or life of funds¹. For the first nineteen years, we outperformed regardless of whether we had \$1 million in AUM or \$600 million.

When I look back at the full 21+ year history of Pabrai Funds, we've had two periods of two years each when we've seriously underperformed the indices. The first was during the financial crisis of 2007-09 and the second was from April 2018 to March 2020. The 2018-20 drawdown was further aggravated by the Covid lockdowns. Our performance from April 2020 onwards has been robust. All three funds

¹ The only exceptions being PIF2 and PIF4 underperforming the erratic Nasdaq over 10 years.

are up 57-67% since April 2020 – almost keeping up with the Nasdaq even with no high-flyer tech names in the mix.

Our long-term results didn't look good in 2009 and the same is true of 2020. Given our current wide discount to underlying intrinsic value, it would not surprise me to see Pabrai Funds meaningfully outperform the indices over the next several years.

Learnings from Nick Sleep

I owe a great deal of the 2020 epiphanies to my good friend Nick Sleep. Nick went through his own evolution from Graham to Munger and the results speak for themselves.

*“Oh, and note, the truly brilliant investors weren't investors;
they were entrepreneurs that didn't sell.”*

- Nick Sleep (in an email to me in August 2020)

I have mentioned Nick's modus operandi a few times in my sessions with students. I am not sure how thrilled Nick is about it, but the Financial Times recently published a link to the full set of his letters to partners:

[The complete letters of Nomad Investment Partnership | Financial Times \(ft.com\)](#)

I cannot recommend reading these letters strongly enough. They should be read and reread. Download them while they are still online. I have no idea if they'll still be there in the future. I'd suggest reading them oldest to newest (versus the order in the PDF of newest to oldest). You'll also enjoy this piece by John Garrett:

[Learning from Nicholas Sleep — Investment Masters Class \(mastersinvest.com\)](#)

The big evolution I had in 2020 was:

1. Go back to buy and hold.
2. Have the same long-term ownership mindset of the families and CEOs that founded and ran these businesses.
3. Fixate on discounted *growing* pies, vs. 30-50 cent dollar bills. Emphasize nimble compounders whose DNA is to relentlessly incubate and spawn new businesses with long runways.
4. If the business is getting better over time and the moat is widening, don't fixate on the valuation. There is no need to sell such a business simply because it appears to be optically overvalued. All bets are off if valuation goes to egregious extremes.

I told Charlie Munger recently that I feel really dumb. It took me 26 years to figure out something so simple. Charlie always excels at making me feel great. He said, “Don't feel so bad Mohnish. It also took Warren and me 25 years to figure that out.”

The business I have held for the longest duration in my life is the 100% General Partner (GP) interest in Pabrai Funds. 21 years and counting. Only the rarest of businesses have the superior economics of

the GP of Pabrai Funds. Over the years I have been approached to sell a minority stake. I have always brushed off these overtures without ever asking what the price or terms might be. For well over half of the 21 years, the GP has earned no fees and lost money. It is the exact opposite of a consistent performer. Nonetheless, I love it and have no plans to ever sell any part of it.

I wish I had applied this enlightened view to our Ferrari stake. We received nearly 1.2 million shares of Ferrari as part of its spinoff from Fiat. We received \$101 million in proceeds for our effective \$23 million investment in Ferrari. Had we held on, our stake would be worth north of a quarter billion today. And we'd have paid zero capital gains taxes. Don't even get me started on Moutai.

Capitalism is creative destruction and brutal. Very few businesses will thrive and grow for decades on end. Most eventually go into secular decline. One needs to be good at separating the wheat from the chaff and distinguish between the ebbs and flows versus secular declines.

This mindset shift changes the nature of businesses one should be interested in owning. They need to have strong moats, long runways and great management. At Pabrai Funds I am currently very pregnant with a few good but not great businesses. In due course as these get to intrinsic value, they'll get replaced with more durable moats and runways. I intend to hold on to the Ferraris forever.

Another criteria that needs to be there for Mohnish to be interested is that they need to be available cheap. This last criteria has likely led to mistakes of omission in the past and will continue in the future. It is just how I am wired. I know Amazon and Salesforce will do very well in the future. I just can't get myself to buy into these incredible franchises at current valuations.

I also cannot see a path to 100x (or even 10x) from here on these or a number of the current tech high-flyers. For Snowflake to go from its current \$83 billion market cap to \$830 billion or \$8.3 trillion, at some point it would need to be generating cashflows ranging from \$20 to \$200 billion a year. Trailing revenues are less than \$500 million. Revenues would need to go up over 100x for investors to have a real shot at 10x returns from here. I'd rather fish in other ponds.

Where is the fishing really good?

As a datapoint, let's look at the ponds PIF3 has been fishing in lately. Here are the largest holdings in PIF3 as of January 14, 2021:

PIF3's Largest Holdings	Shares Held	Cost (millions)	Market Value (millions)	Vintage	Approx. Return
Micron Tech.	389,000	\$16	\$31.6	2018	2x
Rain Industries	14,737,427	\$10	\$29.4	2015	3x
Reysas Logistics	23,395,000	\$4.2	\$27.1	2019	6.5x
Sunteck Realty	3,701,506	\$13.5	\$19.4	2017	1.4x
Seritage Gr. Prop.	1,211,000	\$11.0	\$19	2020	1.7x
Total			\$126.5	(~3/4th of PIF3 assets)	

The grapes of 2016 must have been sour. As an investor in Pabrai Funds, you can take some comfort from the likely zero overlap between Pabrai Funds and your other investments. You probably don't own any of these household names. The large gains in Reysas Logistics may have piqued your curiosity. Let's delve further.

Reysas Logistics – The Little Engine that Could

Reysas Logistics is based in Istanbul, Turkey. Over the years, Fahad and I have made several wonderful trips to Istanbul and met with 50+ listed businesses in Turkey. On our last trip in July 2019, we visited the headquarters of Reysas and met with the outstanding father-son duo that run the place. After the meeting and drilldown, we sold our other two investments in Turkey and put every dollar we could into Reysas Logistics.

*“All day you wait for the pitch you like;
then when the fielders are asleep you step up and hit it.”*

- Warren Buffett

Durmus Doven founded Reysas in 1989. The family owned a Toyota dealership in Ankara in the 1980s. At that time new Toyota cars were individually driven from the Istanbul port to Ankara and other dealerships across the country. In the late 1980s, Durmus was vacationing in France and saw a car carrier trailer for the very first time in his life. At the time, these did not exist in Turkey. Hence all cars were driven from the port to the various dealerships across the country using an expensive army of drivers. As soon as he returned to Turkey, Durmus tried to bring a car carrier trailer into Turkey only to be rebuffed. These type of trucks were not allowed to be imported in Turkey at the time. So, he rigged up his own version of a car carrier trailer (sans hydraulics) and offered to transport Toyotas deep into the hinterland at much lower prices than were prevailing. Toyota loved it. The dealers loved it and customers were willing to pay a premium for new cars with “zero miles.”

Durmus began converting regular trucks into car carrier trailers as fast as he could and Reysas was born. He was making super normal profits and enjoying it all. Then the inevitable happened. Others started making similar car carrier trailers and the market was over supplied in short order. Durmus found himself with a bunch of underutilized trucks and dwindling cash flows. Someone approached him about refrigerating some of his trucks to transport vegetables. Very soon, his entire fleet was refrigerated, and happy days were here again. Till more competitors showed up and the super normal profits again collapsed. The competition in trucking did not stop Reysas from growing its fleet from 10 trucks in 1993 to 1600 by 2006. Today Reysas has the largest truck fleet in Turkey and the 4th largest in Europe.

Doven's clients pointed out the lack of adequate refrigerated warehouses in Turkey and offered him a long term lease if he built one. And very soon Reysas had its first refrigerated warehouse. They scaled rapidly and today, with 12 million square feet, Reysas is the largest owner of warehouses in Turkey. The next largest competitor has 2 million sq. ft. Reysas' tenants include the likes of Alibaba, Ikea and Amazon. Carrefour is their largest tenant and leases 15% of their total footprint. 20% of Reysas' warehouses are refrigerated.

The warehouses are 99+% leased on long-term leases. Their leases with multinationals are typically in Euros with the usual 2-3% annual escalators. The leases in Turkish Lira are indexed to inflation in Turkey. Reysas' borrowing currencies were not properly matched with their leases when we invested. This was one of the reasons the stock was under pressure. By mid-2020 they had refinanced across the board at significantly lower rates and perfectly matched their lease currencies.

The warehouses have become a nice, recurring revenue business. I spent an afternoon kicking the tires and visited a number of Reysas warehouses in the pre-pandemic July of 2019. Needless to say, I was impressed.

Over the years Reysas has spawned a number of new businesses that mostly tend to have strong recurring revenues – and it very quickly becomes the #1 player. It is the largest private rail freight operator in Turkey. All the trains are run by the government. Reysas rents the track, locomotives and drivers from the government and runs its own railcars. It owns three rail terminals and its trains carry freight between Turkey and Europe. Reysas still has a large trucking business, but is now allocating a lot more capital to rail versus trucks due to superior economics.

New Tailwinds

The Bosphorus strait separates the European sliver of Turkey from the Asian part. Until recently freight trains from Turkey's Asian hinterlands were not allowed to use the Marmaray Tunnel under the Bosphorus strait. Thus cargo from trains had to be unloaded in the Asian part of Istanbul, transported by truck across the strait and then reloaded onto trains on the European side of Istanbul. All that was changed in May 2020 and now freight trains are allowed to use the tunnel. Reysas' rail freight business has gone parabolic. The company recently placed orders for 185 new rail wagon containers from the Netherlands, which are a huge fraction of its existing stock. Rail revenues grew over 40% in 2020 and similar growth continues into 2021. Their weekly freight train frequency to Europe is now one trip every two days. Covid has been a huge tailwind for many of Reysas' customers.

I have many fond memories of watching the sun set as we dined at one of many fine seafood restaurants on the banks of the Bosphorus. I am hoping that tradition can be restarted in the summer of 2021. It's a tough job, but someone's gotta do it.

Here Comes the Sun

A few years ago, a German company inquired with Reysas about leasing their warehouse rooftops. The Germans intended to put solar panels on their rooftops to take advantage of Turkey's new net metering laws. These laws required the power company to pay the same price per unit for rooftop solar power as it charged for electric service. The Dovens studied the economics and realized that if there ever was a no-brainer, this was it.

It is not intuitive, but industrial scale rooftop solar installations are less expensive to deploy and maintain than ground mount systems. Reysas has a real durable competitive advantage here. They are aggressively putting solar panels on all their warehouse rooftops themselves. I'm estimating that they'll have 50 MW of installed capacity in a few years and likely be generating \$5-10 million a year in after tax earnings. This is new cash flow that I hadn't even known about when we invested in this \$19 million market cap company. Reysas is the gift that keeps on giving.

There are risks. Turkey could change the net metering laws anytime. Nevada did just that a few years ago. In Turkey this is unlikely. The country has virtually no oil reserves and imports half the coal it uses. Energy imports make up 20% of Turkey's total imports and 75% of its current account deficit. Maximizing solar energy production is a no-brainer for Turkey. Thus, even though the Reysas solar business has no long-term PPAs, it may end up being an even better business. Future electric rates are likely to grow with inflation while Reysas has already finished its solar outlays in older (and cheaper) Turkish Liras.

Warehouse Redevelopment

The oldest Reysas warehouses were built more than a quarter century ago. Some of the ones in Central Istanbul are now in highly desirable areas to live and one old warehouse is being torn down. A JV is planned with an apartment developer. This will take several years, but Reysas should net north of \$40 million when the dust settles. Did I mention the market cap was \$19 million when we invested?

There are many more businesses within Reysas Logistics including vehicle inspections stations and forklift leasing. The Dovens told me that their capital allocation mindset is simple. They want their money back in three years or less. They said they preferred if it was one year or less. I have not found instances of dumb capital allocation by Egemen Doven or his dad. To the contrary, I find them very nimble and opportunistic. Most of their investments tend to have recurring revenue type characteristics. These are difficult to replicate franchises. So, while we bought a dollar bill for well under 10 cents, I am most excited about the increase in value of that dollar bill. I am more excited about the Dovens than the tangible assets in the business today.

"When it is raining gold, reach for a bucket, not a thimble."

- Warren Buffett

There are two listed Reysas businesses. Reysas REIT and Reysas Logistics. Logistics owns 62% of the REIT and owns all the other businesses. Reysas REIT only owns the warehouses. In July 2019, the REIT had a market cap of \$42 million while Logistics was changing hands at \$19 million. The warehouses had \$200 million of debt on them and had a liquidation value between \$500 million and

\$1.2 billion. The REIT stock alone inside Reysas Logistics had a market value of \$26 million. In addition Reysas Logistics owned various other rail, trucking, forklift leasing and the vehicle inspections business.

“The stock market is designed to transfer money from the active to the patient.”

- Warren Buffett

Both businesses were ridiculously undervalued. I obviously preferred buying Logistics. But given the tiny market caps, I didn't think we could get much stock before the price moved. So, I decided to buy as much as possible of both businesses. Turkey is a dream market for long term value investors to practice their art. Let's consider the example of Reysas Logistics. There are 119 million shares outstanding. We now own over 39 million shares of Reysas Logistics. The founders and other long-term holders own another 44 million shares. Thus free float is 36 million shares. The daily volume is typically 2-7 million shares. The holding period of the free float shares is just a few days. I suspect most of them are held for just a few hours.

When we bought our stake in Reysas Logistics and Reysas REIT in 2019, we ended up with 13.4 million shares of Logistics and 27.1 million shares of the REIT. When the price moved up dramatically in Q1 2020, we exited our Reysas REIT position and held on to the Logistics shares. We received \$22.4 million in USD for our REIT shares. Later in the year, as Covid spread across the globe, we reinvested the \$22.4 million back into Reysas Logistics shares and ended up getting about the same number of shares we would have had if we had been able to buy those shares in 2019. All this was only possible due to the hyperactive trading habits of the investors in Turkey.

The bottom line is that we invested less than \$7 million to get nearly 1/3 ownership of a business whose current market cap is \$135 million. Coming back to Nick Sleep, my mindset on Reysas is that we are not an investor in the business. We are a passive owner. Our stake mirrors the stake of the founders. We are their silent partner cheering them on from the sidelines. As long as the moat stays intact and the valuation does not become egregious, we have no plans to sell a single Reysas share for decades. An egregious valuation for Reysas today would be multiple billions of dollars. Thank you Nick!

Rain Industries

I have written about Rain Industries in the past. You can find those previous thoughts in the [‘19 AR](#), the [‘18 AR](#), [Jan ‘19 Letter](#), [Oct ‘18 Letter](#), [July ‘18 Letter](#) and [Jan ‘18 Letter](#). Rain was bought as a future P/E of 1. By 2018, Rain was already a ten bagger and it was dumb not to exit then. What kept me from selling is that I understood the business better and it wasn't just a cheap business. Rain has an exceptional capital allocator and leader at its helm who is continually improving the business. It is a good but not great business. Rain will likely go past its old highs in the next few years and we'll again have our 10x. At a minimum we'll be trimming at that point.

Seritage, Micron & Sunteck

In the case of Seritage, over the next 5-15 years they'll likely have fully transformed their core footprint into highly desirable mixed-use developments in prime areas of the country. We'll probably figure out

what to do with it sometime between 2025 and 2035. Seritage is in the funeral and recycling business. I wrote in my first book [Mosaic](#) why funeral businesses are such awesome assets to own. Micron is in an industry with rapid change but it is also in a stable oligopoly with a solid moat. The business has gotten a lot better since we invested in 2018. I continue to watch it carefully. Mumbai real-estate has finally woken up from its long slumber and Suntek has many tail winds. The plan is to hold it for a while.

The beauty of this ownership mindset is that it can tolerate a healthy error rate. We do not need to be right on all five bets. We may end up with great results even if just one or two of these bets work out as long as the others are flat. The odds of permanent loss of capital are very muted in all five bets and we could be very right on at least three out of five of them. I am always reticent about discussing current portfolio positions. It causes commitment and consistency biases which can hurt us. There are no guaranteed winners. Not even Reysas. I am hopeful that the portfolio continues to be managed objectively and rationally without bias.

All three funds have similar, but not identical holdings. Most of our Reysas shares are owned by PIF3. Reysas makes up about 8% and 2% of PIF2 and PIF4 assets respectively. PIF2 and PIF4 have some great holdings that aren't present or meaningful in the PIF3 portfolio. It is unclear to me which fund does the best going forward.

A Permanent Home with Temporary Capital

Our ownership mindset is at odds with annual redemptions. I want to hold several of these bets for decades but the capital in the funds is temporary. One way to counter that is to have subscriptions exceed redemptions. I have hardly spent any time on raising assets for a long time. I will put more effort on that front to try to ensure effective permanence.

We are currently loading up on four wonderful businesses and seriously short of cash. All four are wonderful compounding machines and deserve to be held for decades. There is not much we own that I would be excited to sell today. We thus need to bring in more cash. I would like to encourage you to add to your investment. And I welcome your referrals. All three funds are open and I think the best days for Pabrai Funds lie ahead. As an existing investor you can add as little as \$25,000. The next opening is April 1, 2021. Here are the deposit slips for [PIF2](#), [PIF3](#) and [PIF4](#). To add funds, please send me or Valerie Magursky a note at mp@pabraifunds.com or vm@pabraifunds.com.

Pabrai Funds has a wonderful long-term investor base. I'd encourage you to think about your investment in Pabrai Funds as a permanent home. Let's get you the full multi-decade benefits of holding a few compounders.

Alignment of Interests

My immediate family has a stake of 175,859 units of PIF2 and 433,197 units of PIF4. The administrative team at Pabrai Funds and I own 54,157 units of PIF4 and 14,754 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 77,006 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately \$41 million.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win.

I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No fees were earned in Q4 2020.

I have an approximately \$7.4 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately \$0.4 million investment in Dhandho Holdings. Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

Online Portal for Investment Statements

All of you should have received an email from Liccar Fund Services with instructions to set up your own online portal to access your investor statements moving forward. Your 12/31 investor statement has been uploaded to the portal.

If you have not yet set your investor portal password, please contact Valerie Magursky at vm@pabraifunds.com for assistance.

Final K-1's (for US Investors)

For PIF2 and PIF4 investors, we expect your final K-1s to be uploaded to the portal in March 2021 by our Administrator, Liccar.

Annual Report – Will be out in Q2 2021

Our modus operandi now is to provide expansive commentary in the annual reports and the annual meetings. The quarterly letter will continue to provide updated performance numbers and announcements, but minimal commentary. The annual report is slated to be published in Q2 2021.

Chai With Pabrai Blog

Please check out my blog www.ChaiWithPabrai.com which I try to keep updated. Here are some recent additions to the blog:

Columbia Business School Podcast on The Value of Continuous Learning

In December 2020, I had a wonderful discussion with Professor Tano Santos of Columbia Business School for the *Value Investing with Legends* Podcast. We discussed my learnings from my father's entrepreneurial ventures and the need for investors to think like entrepreneurs. We also talked about compounders, spawners and the future of value investing.

<http://www.chaiwithpabrai.com/blog/cbsdec2020>

My Annual Talk at Boston College

I very much enjoyed my discussion with Prof. Arvind Navaratnam's class on Fundamental Analysis & Value Investing at the Carroll School of Management (Boston College) in October 2020. We discussed a few investing frameworks, the importance of investment mistakes, and how to look for businesses that transcend geography and currency.

<http://www.chaiwithpabrai.com/blog/mohnish-pabrai-lecture-at-boston-college-carroll-school-of-mgmt-october-8-2020>

My talk at Boston College is also available as a podcast on Apple Podcasts:

<https://tinyurl.com/applepabrai>

Suggestion Box

We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com

2021 Annual Meetings – Tentative Dates

There will be two annual meetings held sequentially in Orange County, California & virtually. These meetings will cover Pabrai Funds, Dhandho Holdings and Dhandho Funds.

Prior to the California meeting, we will have the 7th Annual Gran Fondo Dhandho Bike Ride. It's a scenic ride around the Newport Estuary with views of the Pacific Ocean in Newport Beach, California. Biking can be a dangerous activity; we only want folks who are decent bikers on the ride. The ride begins at Starbucks in Newport Beach at 8:15 AM, and ends there around 10:30 AM. For folks that just wanna chill, you can come to the Starbucks at 10:30 AM and hang out with us bikers.

Here is a link to the Starbucks location:

<http://www.starbucks.com/store/18175/us/jamboree-bristol/3601-jamboree-road-newport-beach-ca-926602961>

Several out-of-towners have rented bikes from The Path Bike Shop. Here is a link to their website: <http://www.thepathbikeshop.com/>. They have a great selection of bikes and will deliver and pick up the bikes from your hotel. Bikers are best off staying at the Newport Beach Marriott Bayview, as it is less than 0.5 miles from our Starbucks rendezvous point. Here is a link to the hotel's website: <http://www.marriott.com/hotels/travel/npbst-newport-beach-marriott-bayview/>.

I hope you'll join me on Saturday morning to experience some of the magic of Southern California.

The **California** meeting is tentatively scheduled to be on **Saturday, September 11th, 2021** at 4:00 PM at:

Soka University

Performing Arts Center

1 University Drive, Aliso Viejo, California 92656

Tel. +1949.480.4000

Soka University has a spectacular campus nestled in the scenic hills of Aliso Viejo. It is a 20-minute drive from Orange County Airport (SNA), and about an hour drive from LAX.

There is a fantastic Marriott Club Sport hotel about 3 miles from Soka University:

[Marriott Renaissance ClubSport](#)

50 Enterprise

Aliso Viejo, CA 92656

Reservations: 800-468-3571

Phone: 949-643-6700

There are many hotels in the area. Here is a link to other hotels near Soka University:

<https://www.soka.edu/hotels-near-soka>

Agenda for the California meeting:

4:00 – 4:30 PM: Meet and Greet

4:30 – 6:30 PM: Presentation and Q&A

6:30 – 7:15 PM: Cocktail Hour

In lieu of dinner in California, we'll have an extended cocktail hour with expanded appetizers (multiple food stations), and lots of tables to sit and chat.

The **Virtual** meeting is tentatively scheduled to be held via video conference on **Saturday, September 18th, 2021** at 12:00 PM Pacific Time. Confirmed guests will receive instructions via email on how to attend the virtual meeting.

Agenda for the virtual meeting:

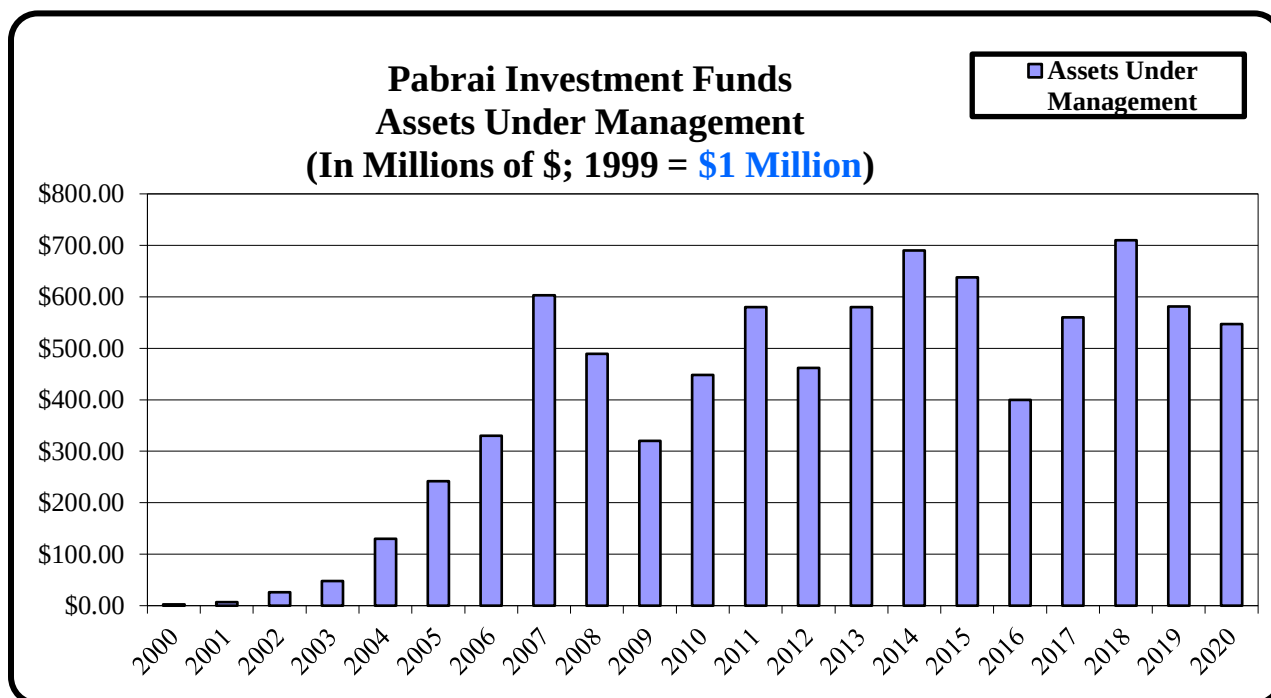
12:00 – 2:00 PM Pacific Time: Presentation and Q&A

The invites will go out electronically via email in July 2021. Look for it in your inbox! If you don't receive it, please contact invite@pabraifunds.com. Your significant other and young kids are welcome to attend. As we are now a Registered Investment Advisor, the SEC requires that all guests must be "accredited investors," which includes your adult kids (22 years or older). The invitation is non-transferable.

Stay healthy and safe. I look forward to seeing you in September.

Assets Under Management

There is \$547 million in assets under management between all the funds as of January 1, 2021.



It is a true joy to manage Pabrai Funds. I love it! Thanks for your continued interest, referrals and support. Feel free to call me at +1949.453.0609 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	\$10.00
330,014	06/30/2001	\$11.74
1,027,795	06/30/2002	\$15.89
1,950,982	06/30/2003	\$21.32
2,445,212	06/30/2004	\$29.58
2,696,687	06/30/2005	\$36.52
2,646,687	06/30/2006	\$41.99
3,013,111	06/30/2007	\$56.25
2,934,990	06/30/2008	\$38.01
2,468,091	06/30/2009	\$28.45
2,409,165	06/30/2010	\$40.84
2,257,421	06/30/2011	\$55.46
2,180,892	06/30/2012	\$43.36
2,057,676	06/30/2013	\$61.68
1,906,927	06/30/2014	\$78.13
1,795,006	06/30/2015	\$74.64
1,684,602	06/30/2016	\$52.26
1,774,805	06/30/2017	\$86.17
1,959,084	06/30/2018	\$106.77
1,896,122	06/30/2019	\$86.30
1,830,037	06/30/2020	\$77.13
1,832,258	09/30/2020	\$78.80
1,773,298	12/31/2020	\$100.00

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	\$10.00
265,919	12/31/2002	\$9.48
485,041	12/31/2003	\$18.63
1,774,753	12/31/2004	\$21.37
2,478,793	12/31/2005	\$21.32
2,930,608	12/31/2006	\$29.37
6,438,615	12/31/2007	\$27.09
5,415,189	12/31/2008	\$10.57
5,038,658	12/31/2009	\$23.79
4,885,267	12/31/2010	\$31.95
4,701,613	12/31/2011	\$26.92
4,318,818	12/31/2012	\$33.21
4,384,591	12/31/2013	\$48.70
4,290,222	12/31/2014	\$49.61
3,805,336	12/31/2015	\$41.33
2,433,652	12/31/2016	\$42.27
2,409,693	12/31/2017	\$88.45
2,473,097	12/31/2018	\$51.42
2,376,897	12/31/2019	\$57.85
2,404,303	03/31/2020	\$41.81
2,454,453	06/30/2020	\$50.45
2,465,515	09/30/2020	\$54.24
2,326,717	12/31/2020	\$68.52

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,314,803	12/31/2005	\$13.01
11,528,331	12/31/2006	\$17.23
16,899,746	12/31/2007	\$16.64
15,737,042	12/31/2008	\$ 6.66
15,725,066	12/31/2009	\$14.57
15,251,129	12/31/2010	\$19.05
14,493,713	12/31/2011	\$16.24
12,398,564	12/31/2012	\$18.85
11,560,683	12/31/2013	\$27.53
10,642,015	12/31/2014	\$28.03
9,531,764	12/31/2015	\$23.71
8,792,042	12/31/2016	\$25.21
8,040,030	12/31/2017	\$40.96
7,809,565	12/31/2018	\$31.64
6,628,989	12/31/2019	\$37.33
6,671,572	03/31/2020	\$22.25
6,744,417	06/30/2020	\$27.46
6,738,919	09/30/2020	\$28.39
6,034,088	12/31/2020	\$34.82

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Please be aware that our past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.